

BUSINESS UNDERSTANDING REPORT

INTRODUCTION

ABC Communications Ltd has asked AnalystLab Africa Consulting to investigate customer churn and provide business insights that can support customer retention strategies. The analysis will use the provided Telco Customer Churn dataset to check customer characteristics, service usage, contract arrangements, tenure and payment methods.

BUSINESS PROBLEM

ABC Communications Ltd wants a better understanding of their customers' behaviour and identify patterns associated with customer churn. The analysis will investigate customer characteristics and service-related factors associated with customer churn.

BUSINESS OBJECTIVE

The primary objective of the analysis is to investigate customer churn and identify patterns in customer behaviour.

The analysis will also;

- Describe the characteristics of the customer base.
- Identify customer segments with higher levels of churn.
- Examine whether contract type influences customer retention.
- Investigate whether customer tenure is associated with loyalty.
- Examine the relationship between subscribed services and customer churn.
- Compare churn across different payment methods.
- Develop actionable recommendations to support customer retention.

KEY BUSINESS QUESTIONS

1. What does the customer base look like?
2. Which customer segments have the highest churn?
3. Does contract type influence retention?
4. Does tenure affect loyalty?
5. Which services influence churn?

6. Which payment methods have higher churn?
7. What actions should management take?

BUSINESS IMPORTANCE

By understanding customer churn ABC Communications Ltd can identify customer groups that may require greater attention from retention teams. By examining churn patterns across customer segments, contract types, tenure periods, services, and payment methods, management can obtain evidence that may support more targeted retention strategies.

SCOPE OF ANALYSIS

The analysis will focus on the customer information available in the Telco Customer Churn dataset. The investigation will consider customer characteristics, tenure, contract type, subscribed services, payment methods, and churn status.

EXPECTED BUSINESS OUTCOME

- A clear description of the customer base.
- Identification of customer segments with relatively higher churn.
- An understanding of the relationship between contract type and retention.
- Insights into the relationship between tenure and customer loyalty.
- Identification of services and payment methods associated with different churn patterns.
- Evidence-based business insights, risks, and opportunities.
- Actionable recommendations that can support customer retention strategies.

CONCLUSION

This business analysis assignment will use customer data to investigate patterns associated with churn at ABC Communications Ltd. By connecting customer characteristics and service-related factors with churn behaviour, the analysis will provide management with evidence that can support customer retention decision-making.

The stages of the analysis will involve inspecting and preparing the dataset, conducting business-focused analysis, creating professional visualizations, interpreting the results, and translating the findings into actionable recommendations.